Syllabus

The All Powerful College Bundle

- Signaling
- Skills
- Social Networking
- Summer Camp
- Self-Discovery

Rank the aspects of the college bundle

A Skills

B Signal

C Social Network

D Summer Camp for Adults

E Self-Discovery

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ECON LIFE HACK

Know why you’re here.

Economic Thinking: *Making Better Decisions*

What is Economics?

- Economics: unlimited wants vs. finite resources
- Economics: The study of incentives and how people respond to them.



Economics

- The study of choices/decision-making understanding people do not have infinite time/resources (trade offs).

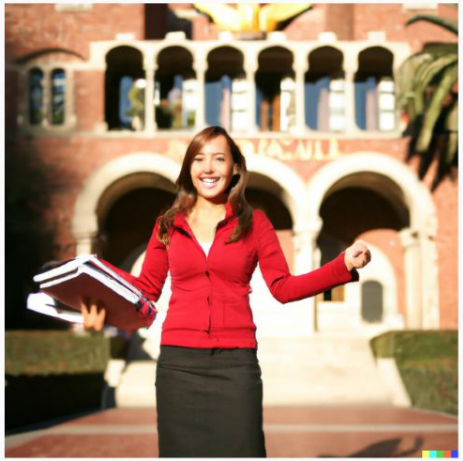
- With a set of tools (statistical, theoretical, experimental) that enable is to better understand the world around us.

So, let’s apply the decision making to choosing a major.

Discussion

Why did you choose your major?



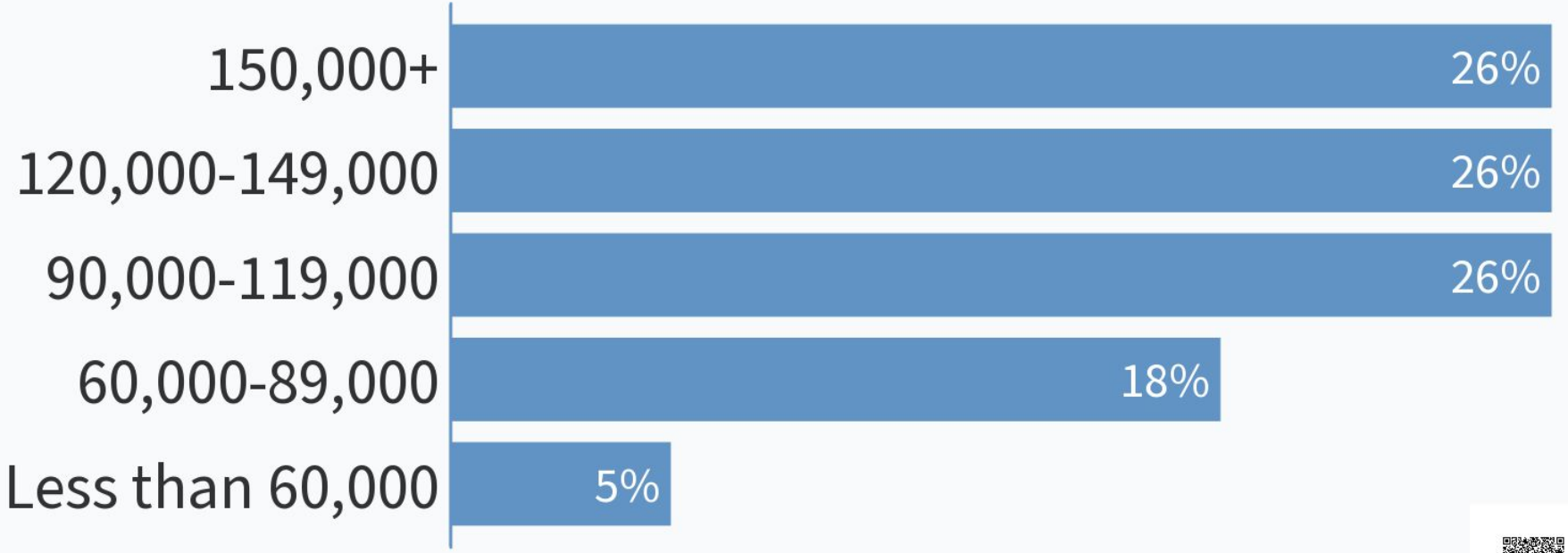



“A Typical USC Business School Student” - DALL-E

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How much do you expect to make?



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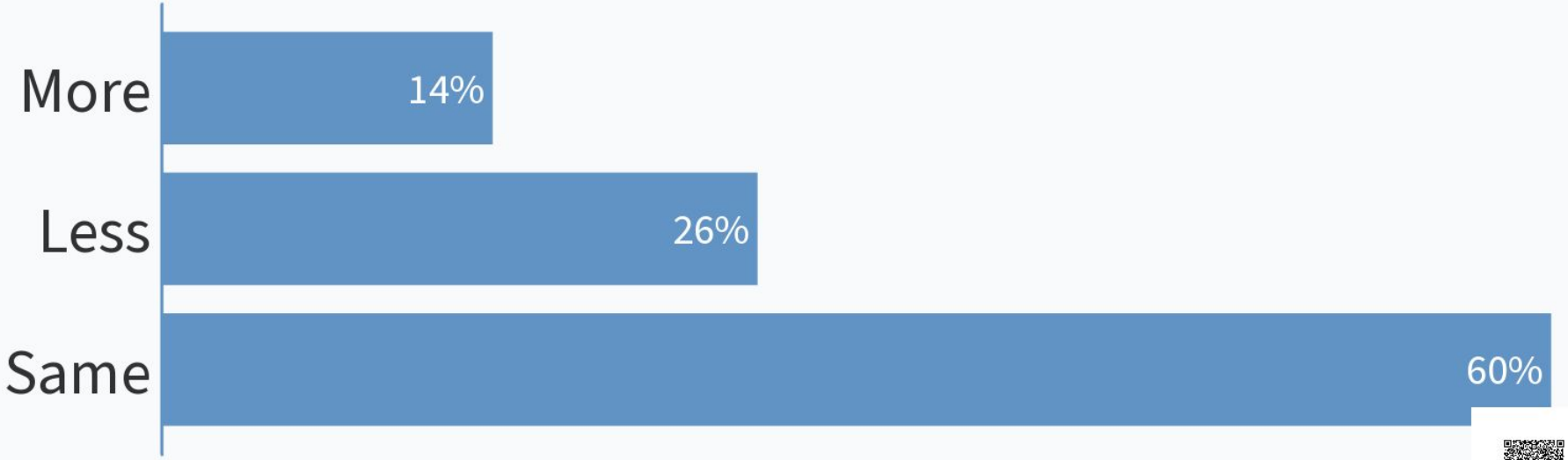
https://lehd.ces.census.gov/data/pseo_experimental.html



Find out– how much will you make 5 years after graduation?

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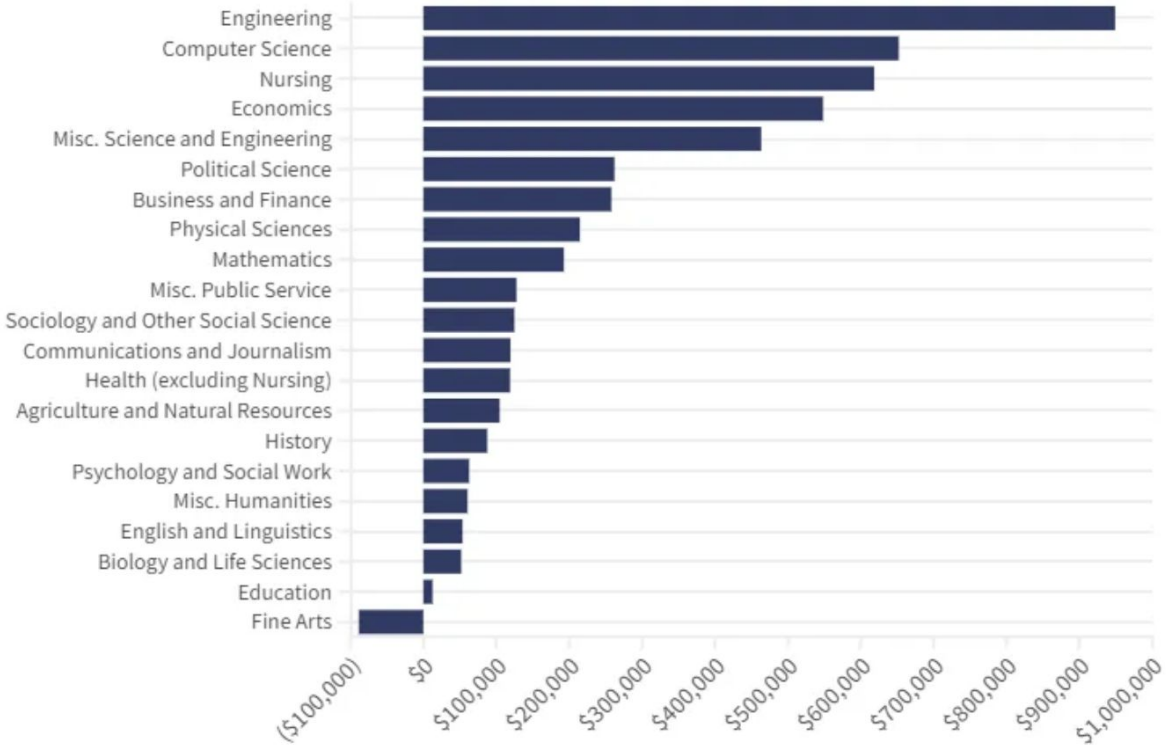
Was your predicted earnings more or less than you thought?



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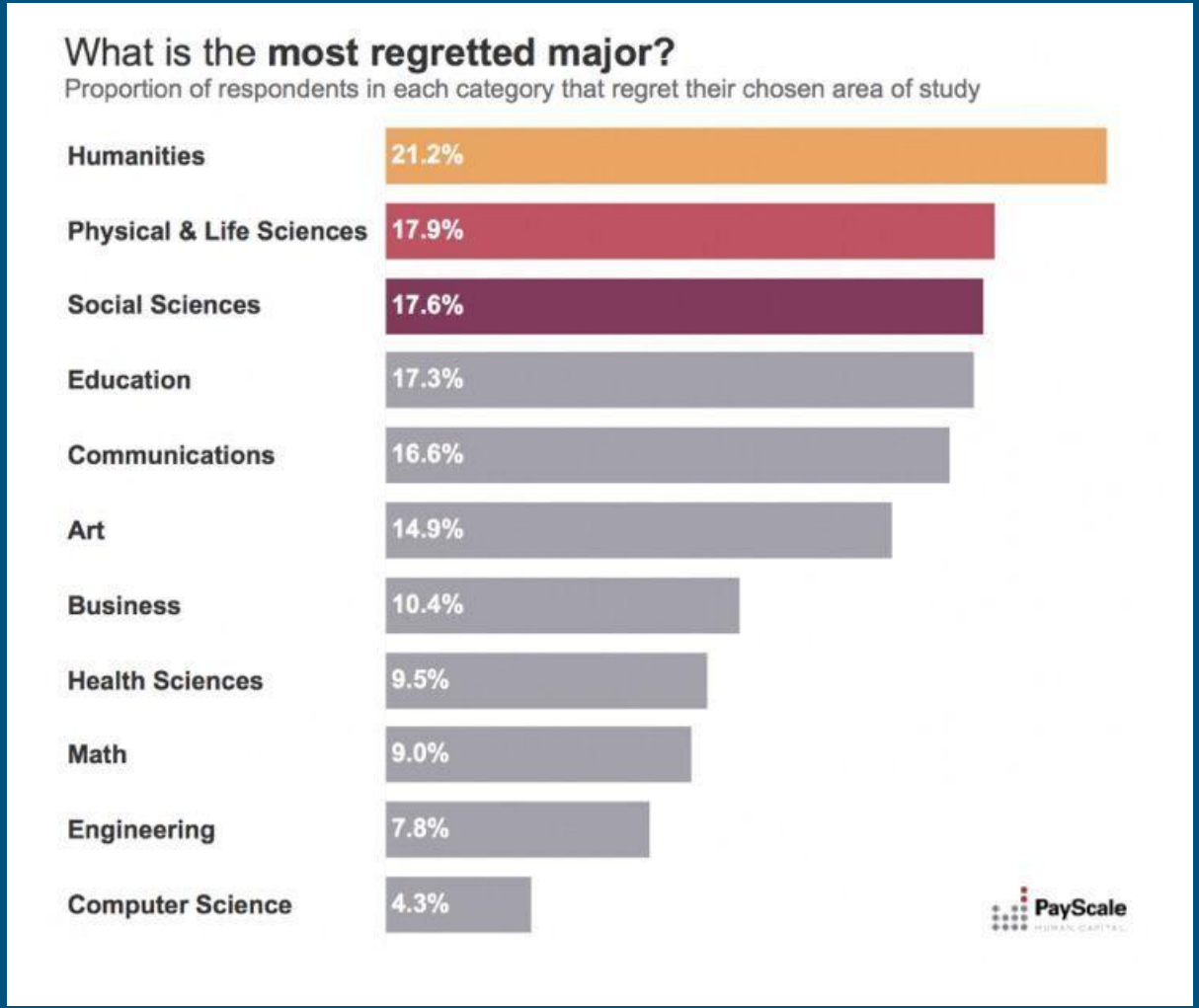
Engineering, Computer Science Are Best Financial Bets

Median return on investment (ROI) by college major (bachelor's degrees)



Source: The Foundation for Research on Equal Opportunity
Graphic: Preston Cooper

FREOPP.org


What is the most regretted major?
Proportion of respondents in each category that regret their chosen area of study
Humanities
21.2%
Physical & Life Sciences
17.9%
Social Sciences
17.6%
Education
17.3%
Communications
16.6%
Art
14.9%
Business
10.4%
Health Sciences
9.5%
Math
9.0%
Engineering
7.8%
Computer Science
4.3%
PayScale

What about the costs?

Key Micro Idea 1: Opportunity Costs

- The full cost of a good or service is what you give up when you purchase it.

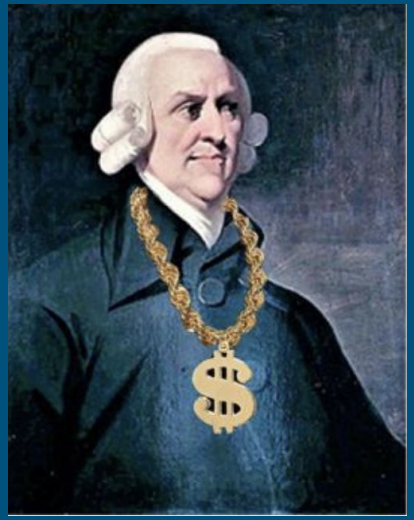
- Include the value of the next best alternative (opportunity cost)

- Example: the cost of a movie is not only the price of the movie, but the value of what you could have done with your time instead

Opportunity Cost: Major

- Majoring in a difficult major will take more time and you will need to study long hours forgoing extracurriculars and leisure.
- These costs will differ by student.
- Students will have to weigh the benefits and their own personal opportunity costs in deciding a major, and factor in non-monetary benefits as well–

Not only about money



“People desire not only to be loved, but to be lovely” - Adam Smith

Key Idea 2: Incentives

- Charlie Munger: “Show me the incentive and I’ll show you the outcome.”
- Every policy provides a set of incentives
- These policies may have unintended consequences
- In some case, the unintended consequences are so large that a policy can have the OPPOSITE of its intended effect

“Policy outcomes don’t care about policy intentions”

Real life examples

- The town of Abruzzi in Italy had a problem with Vipers. So they put a bounty on vipers.

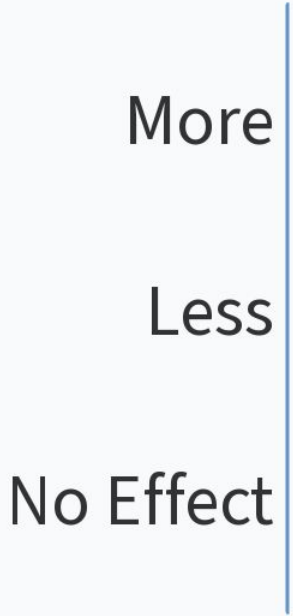


Policy Intention: Less Snakes

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Do you think the policy led to more or less snakes?



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Result: citizen raised snakes in their basement for extra cash

Policy Intention: Less Snakes
Policy Outcome: More Snakes

Real life examples

In the year 2016-2017, NBA player Mo Harkless had a $500,000 bonus in his contract if he shot 35 percent or better from the 3 point line.

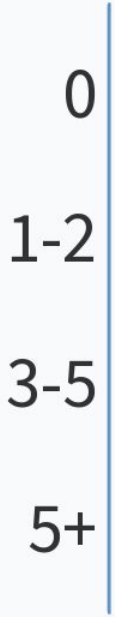
With 4 games left, Mo was shooting 35.1% from 3.

Policy Intention: Get Mo to shoot better

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How many 3s do you think Mo took in the last 4 games?



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DATE	OPP	SCORE	MIN	FGM-FGA	FG%	3PM-3PA	3P%
Wed 4/12	vs NO	L 100-103	22	5-6	.833	0-0	.000
Mon 4/10	vs SA	W 99-98	0	0-0	.000	0-0	.000
Sat 4/8	vs UTAH	W 101-86	37	6-7	.857	0-0	.000
Thu 4/6	vs MIN	W 105-98	29	2-5	.400	0-0	.000

Policy outcome: Mo stopped shooting



3,774 likes 14

moe_harkless I guess dinners on me tonight 🔥 ahaha

Real Life Example

It’s 1585 and the Spanish army is besieging Antwerp.

Food prices are skyrocketing, so the government puts a price ceiling on food.

Policy intention: get everyone cheaper food

Real Life Example

Policy outcome:



Fall of Antwerp

From Wikipedia, the free encyclopedia

This article is about the Siege and outcome of the 1584–1585 siege of Antwerp during the Eighty Years' Wa

The **Fall of Antwerp** on 17 August 1585 took place during the Eighty Years' War, after a siege lasting over a ye
focal point of the Protestant-dominated Dutch Revolt, but was forced to surrender to the Spanish forces. Under
their affairs and leave the city. Many migrated north, especially to Amsterdam, which became the capital of the
population, Antwerp's trade suffered for two centuries as Dutch forts blockaded the River Scheldt up to 1795.

Real Life Example

It’s 1906. Earthquake hits San Francisco.

You are a business or home owner without Earthquake Insurance.

Real Life Example

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You are a business or home owner without Earthquake Insurance.

Hint: You have fire insurance, though.



San Francisco in flames, April 18,1906.

Other famous unintended consequences

- Rent Control in San Francisco, a policy designed to provide affordable housing, actually increased the average cost of housing.(Diamond, McQuade, and Qian 2019)
- Ban the box, a program designed to decrease discrimination actually increased it. (Agan and Star 2018)
- Access to Naloxone, a lifesaving opioid overdose drug, actually increased opioid deaths. (Doleac and Mukherjee 2018)
- Fire insurance subsidies designed to help poor LA shop owners post 1965 Watts Riots, helped rich LA people build mansions in Malibu.

“The curious task of economics is to demonstrate to (people) how little they really know about what they imagine they can design.” (unintended consequences) - Hayek

Dollar Auction